

Comprehensive Auto Policy Wording

Full cover: own damage, third party, fire, theft, windshield and personal accident.

This is a fictional specimen policy wording created solely for a software demonstration. It is not a real insurance contract and confers no cover.

1. Definitions

In this policy the following words carry the meanings shown below wherever they appear.

- "We", "Us", "Our" means Meridian Auto Insurance, the insurer.
- "You", "Your" means the policyholder named in the schedule.
- "Insured Vehicle" means the motor vehicle described in the schedule by registration and VIN.
- "Excess" (also called the deductible) means the amount You must pay towards each and every claim before We pay the balance.
- "Market Value" means the cost of replacing the Insured Vehicle with one of the same make, model, age and condition immediately before the loss.
- "No-Claim Discount (NCD)" means the discount applied to Your premium for each consecutive year You do not make a claim.
- "Territorial Limits" means the geographic area within which cover applies.

2. What Is Covered

2.1 Own Damage

We will pay for accidental loss of or damage to the Insured Vehicle, including damage caused by collision, overturning, fire, external explosion, self-ignition, lightning, burglary, housebreaking, theft, malicious acts, and while the vehicle is in transit. Payment is subject to the Own Damage excess shown in Your schedule and the vehicle's Market Value at the time of loss.

2.2 Third Party Liability

We will cover Your legal liability for death or bodily injury to third parties and for damage to third-party property arising out of an accident involving the Insured Vehicle, up to the limit shown in Your schedule. This cover is mandatory and always included.

2.3 Fire and Theft

We will pay for loss of or damage to the Insured Vehicle caused by fire, external explosion, self-ignition, lightning, burglary, housebreaking or theft, subject to the applicable excess.

2.4 Windshield and Glass

Accidental breakage of the windshield, windows and sunroof glass is covered. A separate, reduced Windshield excess (shown in Your schedule, typically USD 100) applies to glass-only claims, and a glass-only claim does NOT affect Your No-Claim Discount. If damage extends beyond the glass, the standard Own Damage excess applies instead.

2.5 Personal Accident

We provide a Personal Accident benefit to the driver for accidental death or permanent disability sustained while mounting, dismounting or travelling in the Insured Vehicle, up to the sum shown in Your schedule.

2.6 Driving Other Cars

If Your schedule shows the Driving Other Cars extension, You (the named policyholder only) are covered for Third Party Liability while driving a private car that You do not own and which is not hired to You under a hire-purchase agreement. This extension provides Third Party cover only; there is NO own-damage cover for the other car.

3. Excess (Deductible)

For each and every claim You must contribute the excess amount shown in Your schedule. Where more than one excess could apply to a single incident, only the highest applicable excess is charged, except that the Windshield excess applies independently to glass-only claims. A voluntary excess, if selected, is added to the compulsory excess.

- Own Damage excess: as shown in the schedule (commonly USD 500).
- Windshield / glass-only excess: as shown in the schedule (commonly USD 100).
- Young or inexperienced driver additional excess may apply as stated in the schedule.

4. General Exclusions

We will NOT pay for any of the following:

- Loss or damage caused by flood, storm surge, water ingress or submersion where the vehicle was knowingly driven through flood water. (Flood damage from an unavoidable event may be covered only if the Natural Catastrophe endorsement is shown in Your schedule.)
- Wear and tear, depreciation, mechanical or electrical breakdown, and gradual deterioration.
- Loss or damage while the vehicle is driven by any person not holding a valid licence, or by a driver under the influence of alcohol or drugs.
- Use of the vehicle outside the Use Class shown in the schedule (for example using a Social Only vehicle for hire or reward).
- Loss or damage arising from war, terrorism, nuclear risks, or while the vehicle is used in any motor sport, racing, speed testing or track day.
- Consequential loss, loss of use, and any reduction in the vehicle's value following repair.
- Damage to tyres by braking, punctures, cuts or bursts unless the vehicle is damaged at the same time.

5. No-Claim Discount (NCD)

For each consecutive year without a claim We increase Your No-Claim Discount up to the maximum scale. A claim (other than a glass-only claim or a claim where We recover our full outlay from a fully-at-fault third party) will reduce Your NCD at the next renewal.

5.1 NCD Protection

If Your schedule shows NCD Protection, You may make up to two claims in any three-year period without any reduction to Your No-Claim Discount. NCD Protection protects the discount but not the underlying premium, which may still rise. The following do NOT count against protected NCD: glass-only claims, claims fully recovered from an at-fault third party, and emergency roadside assistance.

6. Territorial Limits and Use

Cover applies within the United States. Cover is extended to Canada for private touring for up to 60 days in any period of insurance. Cover does NOT apply outside these Territorial Limits unless a Foreign Use endorsement is shown in Your schedule. The Insured Vehicle must be used only within the Use Class shown in the schedule (Social Only, Social & Commuting, or Business Use).

7. Conditions

- You must take all reasonable steps to safeguard the Insured Vehicle and keep it in a roadworthy condition.
- You must tell Us as soon as reasonably possible about any accident, loss, theft or damage, and about any prosecution or claim from a third party.
- You must not admit fault or negotiate any settlement without Our written consent.
- You must tell Us about any change that affects this insurance, including a change of vehicle, address, use, or main driver.
- This policy is governed by the laws of the state shown in Your schedule.

8. How to Make a Claim

Report the incident through the policyholder assistant, Our app, or the 24-hour claims line. Provide Your policy number, the date and circumstances of the incident, and photographs where possible. See the separate Claims Procedure Guide for the documents required and the timelines that apply.